



NEGOTIATION AND CONFLICT MANAGEMENT

Lecture 10
MGMT-3105



NEGOTIATION AND THE PROJECT MANAGER

As a Project Manager your daily activities will frequently involve negotiation. These negotiations will be conducted internal and external to the organization. You will negotiate for or with:

1. Resources

- Material
- Time
- Equipment
- Money

2. Contractors

- Costs
- Delivery Schedules
- Quality of Material
- Hours of Work

3. Department Managers

- Manpower
- Schedules



NEGOTIATION FUNDAMENTALS OF YOUR MINDSET

- ❖ Separate the **people** from the **problem**.
 - ❖ All of us have egos. All of us have fears and insecurities. Don't tap into the other guys'. You will throw both sides of the negotiation out of control.
- ❖ Stick to business.
 - ❖ Keep the personalities out of it. This is not the time for a **charm offensive**. Nobody will buy it.
- ❖ Put yourself in their shoes.
 - ❖ Nobody likes to be **directly attacked**. This is an extremely ineffective strategy can is usually counter-productive.

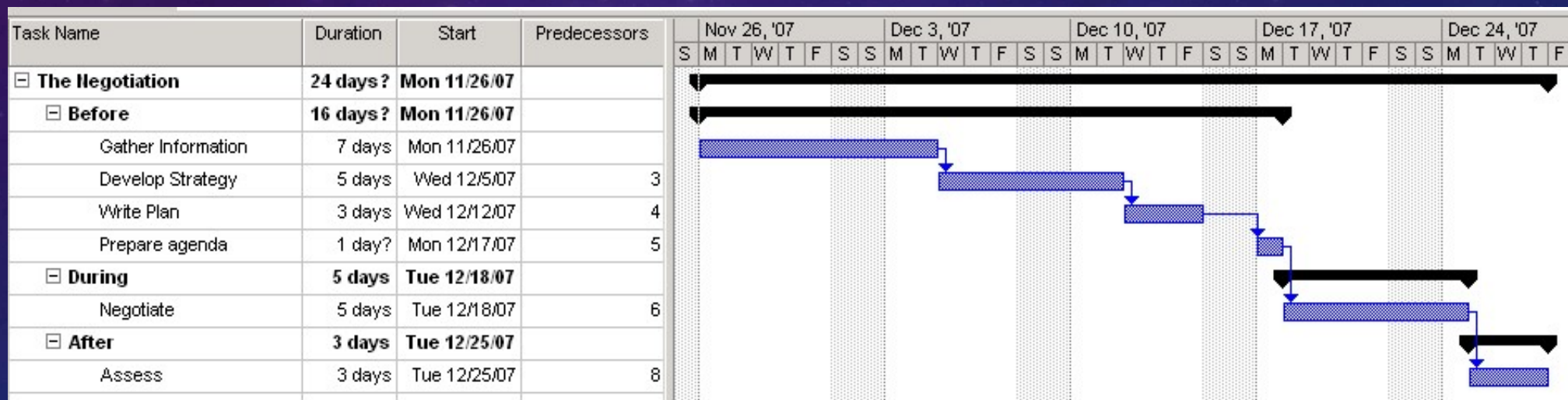
NEGOTIATION – THE BASICS IN GETTING READY

- **Negotiations are win-win or no win.**
- Talk money **last** if possible.
- Negotiations always begin well in advance of the actual discussions.
- The most important thing to know about any negotiation you go into is **what the other side wants** and **how to give it to them**. You already know what you want.
- **Negotiations are not just about the money. They are about the complete compensation package.**



NEGOTIATION – THE BASICS IN GETTING READY

- There are 3 stages in the negotiation process: **Before**, **During**, and **After**.
- **Before** always should be the biggest stage.



GATHER INFORMATION ABOUT THE OTHER SIDE

- Vital interests
- Goals, costs, strategies, positions, needs
- Product strengths
- Concession patterns- are they predictable?
- Tactics – what has been their negotiating style **previously**
- Bottom line- what do they **have to** agree?
- Corporate **deadlines** and time constraints
- Budget – how much can they afford?
- Geographic limitations

Also know your company's position, the players in the negotiation, and who holds the power. **Note that people behind the scenes hold influence.**

DEVELOP STRATEGY

- **Aim high.** Aim for more than one possible scenario that is win-win.
- Be realistic.
- Arrange your objectives by **priority**.
- Know your **bottom line**.
- Are **deadlock** or **termination** options for you in the negotiation? Are they tolerable outcomes?
- Which items are **necessary** and which items are **expendable** for you?
- Have several red herrings available.
- Have an idea how you are going to help the other side negotiate **within their organization**.
- Determine where your interests and the other side's interests **intersect**.
- **Anticipate and brainstorm what questions you might be asked and how to potentially deal with them.**

WRITE YOUR NEGOTIATION PLAN AND PREPARE AN AGENDA

Your plan includes:

- your interests, the interests you expect the other side to have,
- your desired outcomes, your estimates of the other sides desired outcomes,
- your authority limits in relation to possible outcomes, the other sides authority limits in relation to possible outcomes,
- any additional information either you or the other side might require such as a fact sheet.

Your agenda includes:

- The goal of the meeting
- Published in advance (*if to your advantage duration of the meeting*).
- The invitees
- The meeting location

NEGOTIATIONS - QUESTIONS

- ❖ When entering a negotiation, every negotiator needs to ask themselves 3 questions:
 - ✓ How much power do I have?
 - ✓ What sort of time pressures are there?
 - ✓ Do I trust my opponent?

NEGOTIATION - QUESTIONS

Question: Who **controls a conversation**, generally?

Answer: Generally, **the person asking the questions**, because they control the **direction** of the conversation. You want to ask most of the questions in any negotiation regardless of your relative positions.

For example, when negotiating your salary.

Remember also that people are conditioned from birth to **answer questions**. They will provide useful information in a negotiation if you can think quickly regarding what to do next with what you are handed.

One way or another though, you need to politely try to gain the advantage of directing the discussion. It is a key to your success. Just knowing when your counterpart is doing it to you is empowering as well.

So be patient. You will get your turn.

NEGOTIATIONS

ADVANCED QUESTIONING TECHNIQUES

- Generally people **resist being interrogated**, so if you are going to ask most of the questions, remember **the negotiations must conclude in a win-win situation**. This implies that some of your questions may need to be **rhetorical** or **provide advantage to the other side**. Keep this in mind, or you will lose control of the questioning.
- One technique, which is effective but dangerous, is the concept of asking a **series of rhetorical questions that provide the same yes or no answer**. If asked quickly, politely, and professionally, they can be a useful technique:
 - ✓ Are you available at that time?
 - ✓ And is the equipment available at that time?
 - ✓ And are the workers available at that time?
 - ✓ How about supervision?
 - ✓ Then perhaps we *should* consider moving the paint line on Saturday.

NEGOTIATION LANGUAGE AND COMMUNICATION

Sample Statements:

- When you want to establish your power early in the negotiation:
"I'm sorry, but my colleagues and I cannot settle for that."
- When you want to invoke the power of legitimacy:
"It doesn't apply in this case." or "That has never been the standard for this type of application."
- When you want the other party to state their opening position:
"What are you looking for in these negotiations?"
- When you want to find out how much authority the other party has:
"Do you have the authority to commit to that without checking it out at head office?"
- When you don't want to say no outright for fear of breaking down discussions:
"Let's set that aside for now. Let's come back to it."

NEGOTIATION LANGUAGE AND COMMUNICATION

- When you want to sound a little incompetent:
"I get these things confused. Is this what we just agreed upon?"
- When you want to buy time and apply pressure:
"Let me take that to my director. I'll be right back."
- When you want to propose instead of demand:
"May I suggest this alternative?"
- When you want to appease the other party:
"Good point. I'm glad you asked that."
- When you want the other party to save face:
"I absolutely cannot budge on price, but here is what I can do..."
- When you want to uncover the other side's needs:
"What do you think?" "What would you like to see happen?"

NEGOTIATION

NOT THE WORDS, BUT WHAT THEY ARE SAYING

- "To tell you the truth..." *(lying)*
- "To be brutally honest..." *(lying)*
- "Off the record..." *(nothing is ever off the record. The negotiation is always on.)*
- "Just between you and I...." *(a secret is something you tell only one other person. Think about it)*
- "I'd love to, but....." *(no they wouldn't)*
- "Oh, before I forget..." *(Listen carefully to what comes next, that is set up lingo)*
- **CONGRUENCE:** When a person's words and body gestures are in sync, there is congruence. When they are out of sync, the listener will, often subconsciously, interpret the meaning of the communication based upon non-verbal signals and body language.



Conflict Management

CONFLICT MANAGEMENT

Conflict is a process that begins when you perceive that someone has frustrated or is about to frustrate a major concern of yours.

Conflict contains a dynamic aspect. Conflicts **evolve**.

Further, the causes of a conflict may change over time. The original reason why two individuals or groups developed a conflict initially may no longer have any validity – but they are still stuck in conflict.

Because conflict is dynamic and evolving, once a conflict has occurred, **the reasons behind it may no longer matter**.

Conflict is **perceptual** in nature. In other words, it doesn't really matter if one party wronged the other or not, so long as one party perceives the wronging to have occurred.



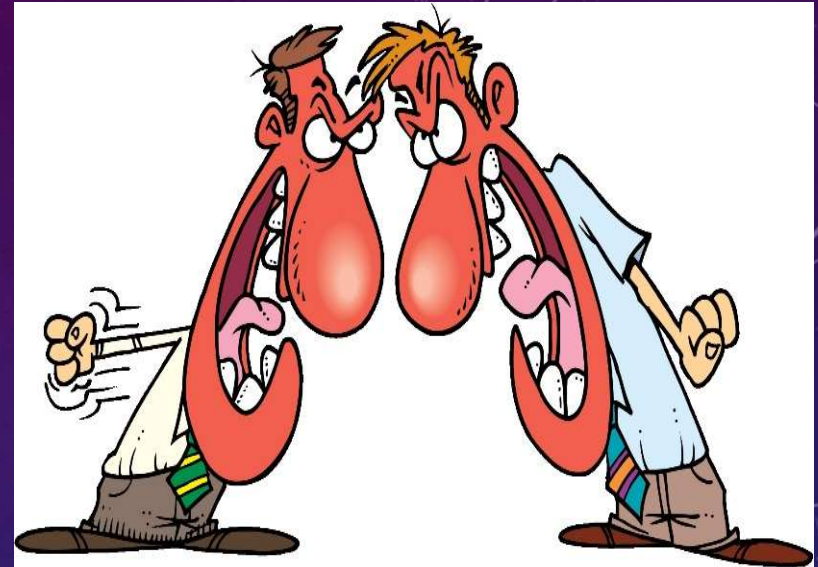
A) GOAL-ORIENTED CONFLICT

This type of conflict is associated with:

- disagreements regarding end results desired
- project scope outcomes
- performance specifications and criteria
- project priorities and objectives

It is fueled by **vague or incomplete goals** that allow project members to make their own interpretations.

Often this type of conflict brings to light the **hidden agenda** that individual team members might have regarding their role in the project and how they perceive their ideal role in the work ahead.



B) ADMINISTRATIVE CONFLICT

This type of conflict is associated with:

- management hierarchy
- organizational structure
- company philosophy

They often center on **who** has **authority or administrative control** for functions, project tasks, and decisions.

Matrix organizational structures frequently breed this type of conflict since each team member has two bosses.



C) INTERPERSONAL CONFLICT

These types of conflicts are associated with personality differences among project team members or may even involve other stakeholders.

Interpersonal conflict sources include:

- different work ethics
- different behavioral styles
- egos
- personalities that do not mesh easily



HOW CONFLICT IS PERCEIVED AND ADDRESSED

There are **three** project management schools of thought regarding conflict. They are:

1. **Traditional** (no conflict should be supported)
2. **Behavioral** (some is accepted, if inevitable)
3. **Interactionist** (limited amount of conflict is supported)

These 3 schools of thought vary dramatically in terms of how they view conflict, and how it should be dealt with.



1. THE TRADITIONAL VIEW OF CONFLICT

- The *Traditionalist* view of conflict is to view it as having a negative effect on organizations.
- Those that adhere to this theory perceive **all conflict to be bad**. They believe that when conflict occurs it should be resolved as quickly and painlessly as possible.
- The emphasis of traditionalists is **conflict suppression** and **elimination**.
- This type of conflict management can have a very strong cultural bias. Japanese business practices frequently promote this type of conflict resolution where saving face is a prime consideration.

2. THE BEHAVIORAL VIEW OF CONFLICT

- *Behaviorists* regard conflict as a **natural** and an **inevitable** part of organizational life.
- Different points of view among functional departments including their having differing goals, attitudes, and beliefs are natural and permanent states among members of a company.
- Behaviorists' solution for conflict is to accept it and **manage it** effectively rather than try to eliminate or suppress it.

3. THE INTERACTIONIST VIEW OF CONFLICT

- *Interactionists*, like behaviorists, believe that conflict is inevitable.
- However, interactionists see **conflict** as a **benefit to an organization**, and actually encourage a controlled amount of it to develop.
- Conflict in this view is seen to prevent an organization from becoming stagnant
- Conflict is theorized to introduce an **element of tension** that produces innovation, creativity, and higher productivity.
- Interactionists see a balance in conflict being required where too little leads to inertia and too much leads to chaos.

SOURCES OF CONFLICT IN A PROJECT

Project conflict arises out of **multiple sources** including but not limited to:

- violations of group or organizational norms
 - disagreement over project goals
 - personal slights
 - threats to job security
 - ambition and ego
- etc.....

These can generally be summarized by dividing them into 2 separate types:

- **Organizational causes**
- **Interpersonal causes**

ORGANIZATIONAL CAUSES OF CONFLICT

Some of the more common causes of organizational conflict include:

- a) Reward systems
- b) Scarce resources
- c) Uncertainty
- d) Different mind sets among departments

A) ORGANIZATIONAL CAUSES OF CONFLICT – REWARD SYSTEMS

- **Reward systems** are competitive processes some organizations have set up that pit one group or functional department against another.
- As an example, when functional managers are evaluated on the performance of their sub-ordinates within the department, they are loath to allow their best workers to become involved in **project work** for any length of time. In these cases typically the functional manager reserves his **best workers** for department work and makes his **lesser performers** available for project work.
- This also creates a justifiable tension between the **project manager** and the **functional manager** whom he perceives as putting his interests ahead of the organization.

B) ORGANIZATIONAL CAUSES OF CONFLICT – SCARCE RESOURCES

- Organizations are typically characterized by several different groups vying for access to the **same resources** at any given time.
- If scarce resources are the natural state within organizations, groups will be in conflict as they seek to gain an advantage in their distribution.

C) ORGANIZATIONAL CAUSES OF CONFLICT - UNCERTAINTY

- In the project environment of a weak matrix company, it is easy to see how it can be **unclear who may be in charge** of any task as the lines for the formal channels of authority are blurred.
- Project managers and their teams can find themselves in the fragile position of having a lot of autonomy, but also responsibility to the functional heads that provide the resources.
- Generally, when an employee is in this state of organizational conflict, the employee will most likely side with the 1 of the 2 nominal "bosses" he or she has that has "power of the performance appraisal". In other words, the one who has the greatest immediate impact on the employee's pay cheque.

D) ORGANIZATIONAL CAUSES OF CONFLICT -DIFFERENT MIND SETS AMONG DEPARTMENTS-

Different mind sets develop among different functional departments because they have different primary interests. Marketing cares about sales, finance cares about margins, R&D cares about the product content etc.;

What is interesting is that typically new members of a functional group adopt the attitudes and outlook prevailing within the group. Thus, if there are biases against finance as "bean-counters", or R&D guys as being unlimited in their desire to add cost via product features, these prevailing attitudes are perpetuated.

INTERPERSONAL CAUSES OF CONFLICT

Some of the more common causes of interpersonal conflict include:

- e) Misconceptions regarding the behavior of others
- f) Faulty communication
- g) Personal grudges

E) INTERPERSONAL CAUSES OF CONFLICT

-MISCONCEPTIONS REGARDING THE BEHAVIOR OF OTHERS

- When people perceive their interests have been thwarted by another individual or group, they can sometimes **suspect** a hidden agenda or personal vendetta.
- Sometimes it is **paranoia**, and sometimes it is not. Often people will think that others are simply doing what is most politically or personally expedient for them.
- Sometimes the position is "he or she doesn't like me, or he or she doesn't understand". This is often used as a **defense mechanism** when people cannot see that 2 reasonable people can look at the same situation and draw different conclusions.
- Most of us like this safe defense mechanism because it allows us to not challenge ourselves with the possibility that others might be correct and there could be a flaw in our logic.
- People with **weak egos** most often fall into this trap.

F) INTERPERSONAL CAUSES OF CONFLICT -FAULTY COMMUNICATION

- This conflict is often caused by **communicating** in a manner that is **ambiguous**, resulting in different interpretations.
- It can also be caused by differing values related to unintentionally communicating in ways that anger or annoy other parties.
- E.g. Some team members can handle tough love type conversations and respond with improved performance. Others will see it as destructive or unfair. It is important to note that in this case it is not so much the content of the communication as the **style**.

G) INTERPERSONAL CAUSES OF CONFLICT -PERSONAL GRUDGES

- These attitudes arise out of **long-term experiences** or **lessons taught** at some time in the past.
- Often these attitudes can be sub-consciously held.

SOURCES OF CONFLICTS IN PROJECTS AND THEIR RANKING BY INTENSITY LEVEL

In order below, based upon data from PMBOK, are the **most common** sources of **project conflict**:

1. schedules
2. project priorities
3. resources
4. technical opinions
5. administrative procedures
6. cost
7. personality

Many project managers think that **personality** is the main cause of conflict on projects. It only becomes personal when the root cause of the conflict is not resolved. Personality is very frequently the first diagnosis.

METHODS OF CONFLICT RESOLUTION

- As published in PMBOK, the **main problem-solving techniques** for conflict resolution in project management are:
 1. **Confronting** (*Solving the real problem*)
 2. **Compromising** (*Finding solutions that bring some degree of satisfaction to both parties*)
 3. **Withdrawal or Avoidance** (*Retreating or Postponing a decision*)
 4. **Smoothing** (*Emphasizing areas of agreement rather than differences of opinion*)
 5. **Forcing** (*Pushing one viewpoint at the expense of another*)

CONFLICT EXAMPLE 1

Which **cause** of conflict could each of the following statements indicate?

- “I can’t talk to her after what her son said to my son.”
- “The sales management at this company are lazy. They always leave the office by 4:00.”
- “She barely looked at my report. She has probably already decided to ignore it.”
- “Our computers are too slow because their division always gets the best computers.”
- “The worse your project performs at the end of the year, the better my project looks”
- “Everybody else knew to submit that report. Why didn’t you?”
- “Why should I do that for my project manager if my functional manager didn’t tell me?”

Reward systems

Scarce resources

Uncertainty

Different mind sets
among departments

Misconceptions
regarding the
behavior of others

Faulty communication

Personal grudges

CONFLICT EXAMPLE 2

Suppose the maintenance supervisors working on your project **didn't come to the first two morning meetings**. How could this be an **indication** of **any** of the following **causes of conflict**?

Organizational

- Rewards Systems
- Scarce Resources
- Uncertainty
- Different Mindsets

Interpersonal

- Misconceptions
- Faulty Communications
- Personal Grudges